

Here's the problem: The elder generation bought some piece of real estate and sold it for several multiples later. This concept worked like a charm and it involved least effort from the human brain. Knowing about equity markets meant we had to put in effort to understand the ways and means. Real estate meant buy, forget and pray until it rose in value to several multiples. Doing least work + price appreciation = happy human!

Where we go wrong: Quite a lot of people have second apartments as an investment option for their retirement. This makes them financially and emotionally committed to paying the EMI's and sticking to the tale that real estate is the best option. When you search for reasons, it would be easier to advocate '*availability bias*' as the primary source of their opinion. It's not very often you hear common men say they became rich from investing in equity markets. But everyone knows that one family member or community friend that bought a plot of land which sold for 40x when they sold it 30 years later. This makes us buy that second apartment as an investment for our retirement and as an insurance for elder years. In fact, if the second apartment is valued at a crore right now, it is practically unsalable as there's no willing buyer at that rate. Besides, the rental yield on the apartment is a paltry 3% per year which at best can cover only a part of the EMI. As you see, this is a vicious cycle problem - I buy home, I pay EMI along with rent obtained, I believe it is best investment, I buy more homes.

Let's dig deeper: Real estate value creation grows in five stages as commonly pointed out by the CEO of Value Research, Dhirendra Kumar. It goes like this:

1. Change of State - unused land to commercial land
2. Creation of surrounding environment - new buildings and infrastructure
3. Improvement in habitability - population increases and better amenities (great restaurants, schools, hospitals) open
4. Overall economic growth coupled with inflation - people's spending ability improves
5. Sudden surge in demand, slump in supply - all these can increase prices